

The trade war came too soon for Mark Carney's middle powers alliance

送信者: POLITICO Pro Article 受信日時: 2026-08-26 02:13

【メール原文】

At the start of the year, Canadian Prime Minister Mark Carney called on the world's middle powers to band together against Donald Trump. But a new tra

Pro is better in the app.

[Click here to download.](#)

The trade war came too soon for Mark Carney's middle powers alliance

By Camille Gijs, Graham Lanktree, Kathryn Carlson, Stefanie Bolzen · Aug 25, 2026, 7:12 PM · [View in your browser](#)

At the start of the year, Canadian Prime Minister Mark Carney called on the world's middle powers to band together against Donald Trump. But a new trade war with the U.S. came before they were ready.

Seven months after Carney called in a landmark speech in Davos on fellow democracies and supporters of free trade to join together and resist economic coercion, they have largely left him to do battle with Trump alone.

The U.S. president's 50 percent tariffs imposed on \$20 billion in Canadian goods last week should be a wake-up call to Ottawa's allies, said one Canadian official with knowledge of the trade talks.

Other countries have tried to appease Trump, the official said. But Canada, which has the most to lose since it's so economically and geographically intertwined with the U.S., has "put out our chest."

After Carney walked away from a deal that in his view threatened Canada's sovereignty, he vowed to fight back. Ottawa would match Trump's new duties "dollar-for-dollar," he said — only for the U.S. president to menace Canada with more sweeping tariffs of 50 percent on cars, trucks and auto parts from January.

"Frankly, I think other countries are watching Canada's response and we hope, I hope, will be following along. At some point, the rest of the world will say enough," said British Columbia Premier David Eby .

On Tuesday, Ottawa announced a suite of retaliatory tariffs and domestic support measures meant to protect Canadian sectors caught in the crosshairs of the trade war. The dollar-for-dollar Canadian counter-tariffs target U.S. steel, dairy, appliances, agricultural equipment, pulp and paper, and electronics.

The tariffs take effect on Sept. 8. Meanwhile, Canada's government is rolling out C\$7.5 billion in financing, liquidity and income support to sectors hit by tariffs.

Yet so far, Canada's allies have left it in the lurch.

Gondor calls for aid

For more than a year, the EU, Canada, the United Kingdom and other economies have talked up plans to deepen ties between the EU and an Asia-Pacific trade bloc called the CPTPP — which includes Canada, Australia, Japan and the U.K. — to counter Trump's trade coercion.

Since Ursula von der Leyen floated the idea at a summit of EU leaders in June 2025, progress on bringing the EU and the 12-nation CPTPP together has been glacial.

"The mechanisms for responding collectively to economic coercion are still at an early stage," said Vina Nadjibulla, co-founder and CEO of the Centre for Strategic Statecraft — a new Canadian foreign policy think tank.

Following up on his Davos speech, Carney was instrumental in getting trade talks going between the EU and CPTPP. The first concrete results came in March at a World Trade Organization ministerial meeting, where the blocs launched talks on a digital trade deal and agreed to explore a pledge not to raise tariffs on one another.

"I would describe the progress as meaningful, but incomplete: the political alignment is increasingly there; the institutions and instruments now need to catch up," Nadjibulla said. "There needs to be much greater coordination among Canada, Europe and democratic partners in Asia on economic security."

The European Union, the U.K. and allies like Japan are now keeping their heads down as they digest the lessons from Carney's lonely stand against Trump.

Bernd Lange, the chair of the EU Parliament's trade committee, was quick to express solidarity with Canada. But the European Commission, EU leaders and the U.K. have avoided taking sides publicly. Behind the scenes, German Chancellor Friedrich Merz spoke with Carney on Monday.

When asked if the EU would stand by Canada's side following Trump's tariff threats, deputy chief spokesperson Arianna Podesta said on Tuesday that "the U.S. and Canada are both important trade partners for the European Union, and we of course continue to work closely with both, aiming to maintain stability and predictability in transatlantic as well as in global trade."

"We are opposed to tariffs as they are taxes which end up being paid by importers and consumers," she added.

Since Trump's return to the White House, EU institutions and governments have been determined to keep him onside and avoid escalation. That approach resulted in a trade truce that was seen as one-sided until the European Parliament pushed hard to strengthen its guardrails following Trump's threats at the start of this year to take over Greenland, a Danish territory.

"The Europeans will push back to defend their own interests when they have to, but they are also trying to accommodate Trump because they still need America," said Tom Wright, a foreign policy analyst at the Brookings Institution who was a senior director at the National Security Council during the Biden administration. "Europe is politically close to Canada, but coordinating a collective pushback against Washington would feel like a significant escalation."

The U.K. isn't likely to join a collective pushback against Trump, either.

Both the U.S. and Canada are "among the very top trade and investment partners for the U.K.," said William Bain, head of trade policy at the British Chambers of Commerce, noting "there are no winners from the escalation of this trade dispute."

British firms, Bain said, “value” the Economic Prosperity Deal struck with the Trump administration last year, which halved the White House’s steel tariffs and lowered automotive tariffs. The BCC also wants to see the U.K.-U.S. Technology Prosperity Deal “implemented in full through continuing negotiations between both governments,” Bain added, after parts of the pact were frozen last year.

Trump’s threats to levy further tariffs on the U.K. over its Digital Services Tax have also prompted Prime Minister Andy Burnham’s government to say it’s “open to discussing U.S. concerns ” about the revenues it collects from U.S. tech firms.

The world as it is

The latest clash with Washington has led Carney to step up his outreach toward the EU.

“This fall we will begin intense discussions with the European Union, the world’s second-largest economy, to build a much stronger and deeper economic and security partnership,” Carney said on Monday . “We can build such unparalleled access, because we can be trusted.”

Brussels has a lot riding on Carney’s gambit. Like the EU a year ago, Canada balked at U.S. requests it saw as encroaching on its sovereignty. In Canada’s case, they relate to Canada’s French-language and cultural protections — enshrined in its constitution — and demands that would have compromised Ottawa’s ability to strike trade deals with other partners.

Washington has similarly been pushing Brussels to cut back its green and tech rulebooks, doubling down on those demands over the summer. The EU executive insists its rulebooks aren’t up for negotiation. If Carney prevails, that could help Brussels hold the line.

Canada is also confronting a weaker Trump than Brussels did a year ago. His original tariffs have since been struck down by the U.S. Supreme Court, while the November midterm elections could further weaken his hand.

“There was also a political calculation from Canada that trying to reach a deal now was not a good idea and that it was actually better to stay firm, with the expectation that after the midterms, if anything, the United States administration may be in a weaker position,” said Ignacio García Bercero, the European Commission’s former top official on U.S. trade.

An EU-Canada summit is due to take place at the end of October, when the two sides will look to cement their partnership.

London and Ottawa are also working toward striking a new strategic partnership this year that would deepen trade ties.

“We are continuing to deepen these ties through the CPTPP and the Economic and Trade Working Group,” a U.K. government spokesperson said of Britain’s economic relations with Canada.

But diversifying away from the world’s biggest economy and building a coalition capable of resisting U.S. pressure could still take years, particularly while potential allies remain wary of confronting Trump.

“The middle powers tend to be the ones most committed to the multilateral trading system. But let’s be frank: Without the U.S. and China, it’s gonna have a hollow ring to it. For the moment, we have to be patient,” said Keith Rockwell, a former WTO spokesperson who is now a senior research fellow at the Hinrich Foundation.

Camille Gijs and Kathryn Carlson reported from Brussels, Graham Lanktree reported from London, and Stefanie Bolzen from Washington. Additional reporting by Nick Taylor-Vaisey in Ottawa.

Trade Trade UK Mobility Energy and Climate Technology Competition and Industrial Policy
Americas Asia Cars CPTPP Dairy Davos digital Dumping/Duties Elections EU-US trade talks Foreign
policy Investment Liquidity Negotiations Parliament Research Security Services Steel Tariffs Tax
Technology Trade Trade war War Andy Burnham Bernd Lange Donald Trump Friedrich Merz Ignacio
García Bercero Mark Carney Ursula von der Leyen European Commission European Parliament U.S.
Supreme Court World Trade Organization (WTO) Australia Canada China Greenland Japan United
Kingdom United States

This email alert has been sent for your exclusive use as a POLITICO Pro subscriber. Forwarding or reproducing the article without the express, written permission of POLITICO Pro is a violation of the POLITICO Pro license agreement.

This email was sent to shondo@iies.co.jp

[Update settings](#) | [Unsubscribe from this email](#) | [Unsubscribe from all emails](#)

POLITICO SRL · Rue de la Loi 62 · Brussels 1040 · Belgium